

All these details need to be understood from an analytical perspective to understand the lease payments that a company makes or has to make. This gives us a basic understanding of the lease position of the company.

Again, if it's not a very large item, we don't get into every detail in the interest of time. However, we must be prepared to invest more time for large items. We must ask questions to the investor relations team, the company management, or, in the case of smaller companies, the promoter and the people in charge to better understand how the leasing policies work.

| LIABILITIES |                                                                                        |    |                 |
|-------------|----------------------------------------------------------------------------------------|----|-----------------|
| 1           | Non-Current Liabilities                                                                |    |                 |
| (a)         | Financial Liabilities                                                                  |    |                 |
| (i)         | Borrowings                                                                             | 24 | 12.39           |
| (ii)        | Lease Liabilities                                                                      |    | 80.68           |
| (iii)       | Other Financial Liabilities                                                            | 27 | 13.63           |
| (b)         | Provisions                                                                             | 29 | 57.98           |
| (c)         | Deferred Tax Liabilities (net)                                                         | 53 | 398.03          |
|             | <b>Total Non-Current Liabilities</b>                                                   |    | <b>562.71</b>   |
| 2           | Current Liabilities                                                                    |    |                 |
| (a)         | Financial Liabilities                                                                  |    |                 |
| (i)         | Borrowings                                                                             | 25 | 201.51          |
| (ii)        | Trade Payables                                                                         | 26 |                 |
| -           | Total Outstanding Dues of Micro Enterprises and Small Enterprises                      |    | 86.03           |
| -           | Total Outstanding Dues of Creditors other than Micro Enterprises and Small Enterprises |    | 920.71          |
| (iii)       | Lease Liabilities                                                                      |    | 27.71           |
| (iv)        | Other Financial Liabilities                                                            | 28 | 1,034.04        |
| (b)         | Other Current Liabilities                                                              | 31 | 114.73          |
| (c)         | Provisions                                                                             | 30 | 24.96           |
| (d)         | Current Tax Liabilities (net)                                                          | 32 | 25.02           |
|             | <b>Total Current Liabilities</b>                                                       |    | <b>2,434.71</b> |
|             | <b>TOTAL LIABILITIES</b>                                                               |    | <b>2,997.42</b> |

The last point we need to understand here is - lease liabilities as a percentage of total assets. We can check the lease liabilities on the consolidated balance sheet as short-term and long-term lease payments. Short-term lease payments are under non-current liabilities, while long-term lease payments are under current liabilities. For the company we are evaluating, we find lease liabilities to be 1.2% of total assets.

**So, the calculation for this year is:**  
 $107 / 8830 \text{ Cr} = 1.21\%$

As we can see, this is a relatively small percentage. In certain companies, however, these numbers can reach double digits and beyond. In that case, we will thoroughly explore the lease liabilities and their structure.

This is how we understand and analyze a company's lease payments. Having understood the basic lease-related questions, we can get into as much depth as required.